

the Nexcenter data centres.

We have been leaders in innovative service offerings. For example, in the case of security, we provide the best high-end threat management services. When it comes to the details, we have a lot of things which are more cutting-edge as compared to the providers of vanilla offerings. If you look at the larger players, I think they are focused more on very niche sectors.

Customers today are looking at optimised solutions built with SLA and expertise, and that is where we are really focusing.

Q. So do you provide anything like a Platform-as-a-Service (PaaS) or similar architecture? Or are you operating at the pure data centre level?

A. We are going to offer some PaaS services. That is on the road map. As of now, we don't plan to go into SaaS at all, but we do provide database services like MS SQL and Hadoop as a platform. MongoDB is on our roadmap. I would say we are on that journey, and we are halfway there. Over the next few quarters, we plan to give multiple offerings on PaaS as well.

Q. Where is your main data centre located?

A. We have four data centres in Mumbai, including the one that we launched in October 2015, which is the largest. We have two data centres in Vikhroli. We also have one data centre in the Bombay Stock Exchange building, specifically for algorithmic trading or high frequency trading for brokers. There is a direct fibre connection to the exchange. The latest flagship centre of ours is the one at Chandivali in Maharashtra, which, as mentioned earlier, is built over five floors. We have a large facility in Bengaluru, and at Chennai and Noida as well.

Q. What would you say is the key factor driving this group? Is it telecom, IoT, the cloud, or Digital India? Or is it the startups and the dot coms that are mushrooming?

A. One is e-commerce, which is clearly a growth engine. We host customers like Myntra, Shopclues and MakeMyTrip, among many others, on the cloud as well as on dedicated servers. As they grow, our infrastructure also grows along with them. We have been very agile and nimble, which has enabled us to work with these organisations. Second, we also see the telecom sector growing and expanding, with 4G services now available. That is more on the co-location side. So it is telecom and mobile value added services that are expanding.

Q. Do the telcos use your services? As you mentioned, they have their own pipelines and they also co-locate their data centres themselves. So how do they work with you?

A. Many of these telcos do in-house work and have their own data centres. But they do co-locate outside as well with third parties like us. There are some international telco cloud providers who prefer using third party data centres instead of building their own. We have been seeing a lot of interest from such customers as well. And even the traditional enterprises are considering migration to third party data centres. We have seen a few insurance companies as well as manufacturers completely shutting down their own data centres in search of new technology. When they make that decision, they also move to a third party data centre, where they seek a complete solution.

Q. So your team has an RoI equation for such clients? Is the typical RoI equation more about strategic advantage? Or is it about the ability to deliver more output, or reduce cost?

A. I would say it is a bit of everything, but the fall in migration cost due to a third party involvement is one of the key propositions. The cost saving is about 30-40 per cent when you move to a third party. There is simple logic behind it. To support multiple technologies 24x7, you need resources across shifts. That cost itself becomes very large when you try to do it in-house, apart from the factors of economy of scale when running and managing a facility. A second benefit is the kind of access companies get without having to pay upfront; everything is available as an operating expense. Third is the skillset our customers get to help them optimise and create cutting-edge solutions for their deployments.

Customers themselves are now aware of all these benefits, and we no longer need to convince them to outsource.

Q. Then the challenge is more about projecting Netmagic as a better option as compared to the competition, rather than having to sell the concept?

A. The first challenge is to be able to give our customers a convincing technical solution, and the second is to show how we are better than the others.

Q. How much revenue does Netmagic get from its international business?

A. Our international business contributes about 10 per cent to our total revenue. It has been growing recently, thanks to our relationship with NTT, and because we are doing remote infrastructure management for a few global customers.

“Open source is key to our business. We have used the Swift platform for our object storage, and our monitoring setup is also based on open source technology.”